Deposit Insurance

Risk-Based Premium Framework: A Welcome Move

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For decades, India's stronger commercial banks effectively subsidized the higher risks of weaker cooperative banks. The risk-based premium framework puts an end to this cross-subsidization by aligning premiums with each bank's actual risk profile.

Ajay Chandra Pandey, Former AGM and Faculty, State Bank Academy, Gurugram

In banking, trust is the true currency—and safeguarding that trust is fundamental to financial stability. In India, this responsibility rests quietly yet powerfully with the Deposit Insurance and Credit Guarantee Corporation (DICGC). Acting as a mandatory safety net for depositors across all commercial banks—from large global institutions to regional rural banks (RRBs)and cooperative banks—the DICGC ensures that savings held in accounts such as savings, fixed, current, and recurring deposits remain protected even if a bank faces distress, cancellation of license, or forced merger. Operating quietly in the background, it underwrites confidence in the system, assuring millions that their hard-earned savings remain protected even in times of financial stress.

However, this protection is not without limits. The DICGC guarantees deposits up to ₹500,000 per depositor per bank, covering both the principal and the interest accrued. The cap is applied on the basis of "same right and same capacity," which means that multiple accounts held by a depositor across different branches of the same bank are aggregated and treated as one for insurance purposes. Certain deposits, such as inter-bank and government deposits, are excluded from this cover. Yet for the ordinary customer, the protection is seamless and invisible—there is no form to fill, no premium to pay, and no choice involved. The scheme is compulsory for banks, and the entire insurance premium is borne by them. Thus, even with a defined ceiling, the assurance it offers remains a built-in safeguard that quietly reinforces confidence in India's banking system.

Existing framework

Since 1962, the DICGC—a wholly owned subsidiary of the Reserve Bank of India (RBI)—has protected depositors under a simple flat-rate premium system—easy to administer, but one that treated every bank the same, regardless of how well it managed risk. Under this long-standing model, all banks paid DICGC insurance premium at the same rate, whether they were rock-solid or wrestling with vulnerabili-

ties. Now, in a landmark shift toward more nuanced financial safety, the DICGC has gained approval to transition to a Risk-Based Premium (RBP) framework. Set to take effect from April 1, 2026, this reform abandons the one-size-fits-all approach in favor of differential pricing that reflects each bank's true financial health, harnessing the authority granted under the DICGC Act of 1961. The result promises a fairer, more resilient insurance regime that rewards strong risk management and strengthens the overall stability of India's banking system.

RBP framework

Effective April 1, 2026, the RBP framework will fundamentally reshape how banks contribute to the deposit insurance safety net, with a review scheduled at least once every three years. Currently, all banks pay a uniform rate of 12 paise per ₹100 of deposits, irrespective of their size or financial strength. Under the proposed system, premiums will be aligned with each bank's risk profile—the banks covered under the new framework will be grouped into four risk categories, viz., A, B, C and D. Financially stronger institutions will pay lower rates, while riskier banks will pay higher premiums, which has been capped at the existing ceiling of 12 paise per ₹100 of deposits. The proposed modalities are as follows:

- To ensure fair and risk-sensitive assessment across diverse institutions, the RBI has adopted two distinct models tailored to differences in size, structure, and data availability, ensuring smaller banks are evaluated against appropriate peer benchmarks rather than large commercial banks.

  Tier 1 Model: Applicable to Scheduled Commercial Banks (excluding Regional Rural Banks-RRBs), it determines premium based on RBI supervisory ratings, capital adequacy, asset quality, management, earnings, liquidity and sensitivity to market risk (CAMELS)-based financial strength indicators, and the potential loss to the DICGC in case of bank failure.

  Tier 2 Model: Applicable to RRBs and Cooperative Banks, it determines premium based on key financial indicators (CAMELS), governance standards (board and management effectiveness), and the potential loss their failure could cause to the Insurance Fund.
- The RBI's data-driven assessment goes beyond basic balance sheet analysis, evaluating solvency, asset quality, liquidity, profitability, and governance. Under both Tier 1 and Tier 2 models, stronger financial discipline and better lending quality directly translate into lower insurance premiums, making prudent management a clear financial advantage.
- For Tier 2 banks—such as RRBs and Cooperative Banks—the framework places strong emphasis on corporate governance alongside financial metrics encouraging better oversight and transparency. Qualified management and professionally led boards are mandatory, ensuring leadership quality is valued and directly influences premium rates.

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- Under the new framework, both models place banks into four risk categories—A, B, C, and D. Category A banks, reflecting the strongest financial health, will enjoy a reduced premium of 8 paise per ₹100 of deposits—a 33% saving over the current rate. Categories B and C will pay intermediate rates of 10 and 11 paise, respectively, while Category D banks, carrying the highest risk, will continue to pay the maximum 12 paise. This graded structure directly aligns insurance costs with financial strength and risk profile.
- To recognize and reward sustained financial stability, the framework also introduces a Vintage Incentive of up to 25%. This benefit is available to banks that have contributed to the Deposit Insurance Fund for over 25 years without triggering significant claim payouts or undergoing major restructuring. By acknowledging long-term resilience and prudent management, the incentive reinforces a culture of enduring stability within the banking system.
- Small institutions such as Local Area Banks and Payments Banks will, for the time being, continue to pay the uniform 12-paise rate, as data limitations make it difficult to integrate them into the RBP model. Additionally, any bank placed under the RBI's prompt corrective action (PCA) or supervisory action framework (SAF) will not be eligible for concessional rates and must continue paying the maximum 12 paise until it exits supervisory restrictions.
- Banks' risk categories will be determined using the latest available audited year-end financial data and RBI supervisory ratings. For example, the premium payable for the first half of FY 2026-27 (April-September 2026), due by May 31, 2026, will be calculated based on assessable deposits as of March 31, 2026, and the most recent audited financials and supervisory assessment.
- The applicable rate of premium for a bank will be calculated, as under:
  Effective Premium Rate = Card Rate × (1 – *Risk Model Incentive*) × (1 – *Vintage Incentive*)

The existing requirement to disclose DICGC premium payments in the "Notes to Accounts" will be discontinued. Banks are also prohibited from publicly disclosing their risk category or premium rate, and cannot use such classification for marketing or business solicitation.

Why it matters

The proposed RBP framework marks a strategic shift by the RBI, transforming deposit insurance from a flat cost into a tool for discipline and governance. By linking premiums directly to a bank's financial health, institutions with strong capital buffers, prudent lending, and low stressed assets will pay less, while riskier banks will bear a higher cost—ensuring that risk has a price and prudence earns a reward. While the ₹5 lakh depositor cover remains unchanged, the mechanism safeguarding it becomes more resilient and equitable. By curbing moral hazard and aligning incentives across the sector, the reform promotes cleaner balance sheets, greater accountability, and a stronger, more sustainable banking ecosystem. For decades, India's stronger commercial banks effectively subsidized the higher risks of weaker cooperative banks. The RBP framework puts an end to this cross-subsidization by aligning premiums with each bank's actual risk profile. In essence, those who generate risk will now bear its cost—ensuring that well-managed banks are rewarded, not penalized, for their stability.

The immediate impact is on profitability. Category A banks will pay 8 paise per ₹100—a 33% reduction from the earlier 12 paise—with vintage incentives of up to 25% potentially lowering the effective rate to around 6 paise. For a large bank like State Bank of India, with deposits of about ₹57 tn, this could translate into annual savings of roughly ₹2,000 cr (assuming 60% of deposits are insured), directly strengthening earnings. In contrast, Category D banks forgo this cost advantage, widening the structural gap between stronger and weaker institutions. ICRA estimates the revised norms could add around 4 basis points to RoA for strong, claim-free banks, while sector-wide gains may average about 3 basis points as lenders holding nearly 80% of deposits qualify for higher premium discounts. The framework functions as a clear regulatory "carrot and stick." Banks are incentivized to strengthen CAMELS parameters—capital, asset quality, earnings, and liquidity—to qualify for lower premiums. For cooperative and rural banks, the reform goes beyond balance sheets: stronger governance, professional boards, and qualified management are now essential to securing lower costs. The framework offers a Vintage Incentive—up to a 25% discount for banks with over 25 years of stable operations and no major DICGC claims. This creates a "trust premium," rewarding long-term resilience. Established public and private sector banks with clean track records stand to gain the most from this benefit. A key feature is strict confidentiality: banks cannot disclose or market their risk category, preventing any "flight to safety" or panic withdrawals. The impact of the rating is purely internal and financial—designed to push management toward improvement without unsettling depositors. By keeping ratings confidential, the RBI avoids rumor-driven stress while ensuring that your ₹5 lakh deposit cover remains fully intact and legally protected.

How this will impact depositors

Though the premium shift is invisible to customers, its effects are real. By making risk costlier, the framework pushes banks toward prudent lending and stronger balance sheets. Category A banks, benefiting from lower premiums, may gain room to price deposits and loans more competitively. At the same time, cooperative and rural banks are compelled to upgrade governance and professionalism—strengthening reliability and service standards across the system.

Impact on Cooperative Banks

At first glance, the framework may seem to favor large commercial banks, but it is corrective, not punitive. Its aim is to align premiums with actual risk while retaining safeguards for cooperative and rural banks. Historically, commercial banks contributed over 90% of the DICGC premium pool but accounted for only a small share of claims—largely arising from the cooperative sector. The reform merely restores balance by linking cost to risk. The framework cushions cooperative banks with key safeguards. No bank will pay above the existing 12-paise rate, ensuring weaker institutions face no additional burden even as stronger ones receive discounts. Urban Cooperative Banks under supervisory action (SAF/PCA) are temporarily exempt, giving them time to regain stability before entering the RBP regime. Moreover, long-standing cooperative banks can avail the Vintage Incentive—up to a 25% discount—rewarding proven stability and helping them compete more evenly with larger commercial banks.

The RBP framework is likely to accelerate consolidation in the cooperative banking space. By making risk costlier, it effectively imposes a financial discipline on weaker institutions. Category D banks, without the benefit of lower premiums enjoyed by stronger peers, may face margin pressures that make independence increasingly difficult. The result is a clear choice—modernize or merge—encouraging voluntary amalgamation with stronger banks to reduce costs and secure long-term stability, including potential vintage benefits.

The shift to a RBP framework is more than a technical recalibration— it is a coming of age for India's banking architecture. It transforms the DICGC from a passive claims-settlement body into an active enforcer of market discipline, weaving risk accountability directly into the cost of deposit protection. By linking premiums to financial strength and governance standards, India aligns itself with mature systems such as the Federal Deposit Insurance Corporation in the United States and deposit insurance regimes across the European Union.

The message is elegantly simple: prudence is rewarded, risk is priced. The ₹5 lakh cover for depositors remains intact—but the institutions standing behind that promise are set to become stronger, safer, and more resilient. Quietly yet decisively, this reform does not merely insure banks against failure; it nudges them, structurally and consistently, to avoid it. ■

Reference # 20M-2026-03-03-01